

26th September, 2026

BSE Limited

Listing Department,
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai – 400 001

Stock Code: 522122; Company Code: 2407

Sub.: Intimation under Regulation 30 (Material Assessment Order from Income Tax Department)

Dear Sir / Madam,

In pursuance of the requirements of Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, read with Schedule III attached thereto; please be informed that the Company has received an Assessment Order, including Computation Sheet and Demand Notice of Rs.3,82,08,430/- pertaining to Assessment Year 2023-24; from Income Tax Department on 25/09/2026. Copies of the relevant Assessment Order, including Computation Sheet and Demand Notice are attached for your reference in this regard.

Further details as required to be disclosed in pursuance of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with SEBI Master Circular No. HO/49/14/14(7)2025-CFD-POD2/I/3762/2026, dated 30/01/2026, are also enclosed herewith as Annexure-A

The Company shall explore the options available to it and shall take appropriate action in accordance with the applicable provisions of the Income Tax Act 1961, in the matter.

We hope that you would find the above in order.

Thanking you.

For Voith Paper Fabrics India Limited

**DEEPAK
BEHL**

Digitally signed by
DEEPAK BEHL
Date: 2026.09.26
18:25:23 +05'30'

Deepak Behl
Company Secretary
ACS No.: 40924
Encl.: As stated.

Annexure-A

The details required under SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 read with SEBI Master Circular No. HO/49/14/14(7)2025-CFD-POD2/I/3762/2026 dated 30/01/2026:

Sr. No.	Particulars	Details
1	Name of the authority	Assessment Unit, Income Tax Department
2	Nature & details of action(s) taken or Order passed	Assessment Order u/s 143(3) read with sections 144C(13) & 144B of the Income-tax Act 1961, for Assessment Year 2023-24; and to separately initiate penalty proceedings u/s 270A of the Income Tax Act.
3	Date of receipt of direction or order, including any ad-interim or interim orders, or any other communication from the authority;	September 25, 2026, at 7:27 p.m.
4	Details of the violation(s)/ contravention(s) committed or alleged to be committed	Addition of Rs.10,87,07,276/- to Taxable income of Assessment Year 2023/24; relating to TP adjustments in matters of Trading Segment; Marketing support services; Payment of Royalty; and Intra-Group services.
5	Impact on financial, operation or other activities of the listed entity, quantifiable in monetary terms to the extent possible.	Demand of Rs. 3,82,08,430/- by the Income tax Department.



GOVERNMENT OF INDIA
MINISTRY OF FINANCE
INCOME TAX DEPARTMENT



1.	PAN	AABCP0441Q
2.	Name of the assessee	VOITH PAPER FABRICS INDIA LIMITED
3.	Address of the assessee	113/114-A Sector 24, Faridabad Sector 22 S.O Faridabad, FARIDABAD 121005, Haryana, India
4.	Assessment Year	2023-24
5.	Status	COMPANY
6.	Residential Status	Resident
7.	Date of filing of Return of Income	28/11/2023
8.	Acknowledgement Number of Return of Income	530634701281123
9.	Date of processing u/s 143(1)(a) of the Income-tax Act.	13/01/2024
10.	Income Computed under section 143(1) of the Act	
11.	Date of service of Notice under section 143(2) of the Income-tax Act	19/06/2024,19/06/2024,19/06/2024
12.	Date(s) of issue of Notice(s) under section 142(1) of the Income-tax Act	22/10/2024,29/08/2025,18/12/2025
13.	Order passed under section	143(3) r.w.s 144C(13) read with section 144B of the Income-tax Act
14.	Returned Income	Rs. 43,07,14,990
15.	Date of Order	25/09/2026
16.	DIN	ITBA/AST/S/143(3)/2026-27/1093935068(1)

ASSESSMENT ORDER

1. Reasons for selection of the Case and Type of Case and background facts:-The assessee, M/s Voith Paper Fabrics India Limited, PAN- **AABCP0441Q** filed its electronic return of income for the Assessment Year (A.Y.) 2023-24 on 28.11.2023. In this return, the assessee declared a total taxable income of ₹ 43,07,14,990/-.

1.1 Selection for Scrutiny: The case was subsequently selected for **Complete Scrutiny** through the **Computer Assisted Scrutiny Selection (CASS)** system. The specific risk parameters identified by the system for selection were as follows:

- **Mismatch in TDS Disallowance u/s 40(a)(ia):** The case was flagged due to a significant discrepancy between the statutory disallowances reported in the

Note:- The website address of the e-filing portal has been changed from www.incometaxindiaefiling.gov.in to www.incometax.gov.in.

Income Tax Return (ITR) and the Tax Audit Report (Form 3CD). Specifically, the system identified that the quantum of disallowance u/s 40(a)(ia) on account of non-compliance with the provisions of Chapter XVII-B (TDS) reported in Part A-OI of the ITR was lower than the amount reported by the auditor in Column 34 of the Tax Audit Report (Form 3CD).

- **High-Risk International Transactions (CbCR Data):** The entity was identified as a high-risk Indian Constituent Entity (CE) of a Multinational Enterprise (MNE) group based on Country-by-Country Reporting (CbCR) data. The selection was aimed at verifying the transparency and accuracy of cross-border transactions and ensuring that the Indian CE is not being used for base erosion or profit shifting within the high-risk MNE group.
- **Transactions involving Intangible Property:** The system identified a large value of international transactions in the nature of intangible property (such as Technical Know-how fees and Royalties) relative to the assessee's total turnover. These transactions were flagged to examine the adherence to the Arm's Length Principle and to verify the "Benefit Test"—ensuring that the payments made for such intangibles were commensurate with the actual economic benefits derived by the Indian entity.
- **Verification of Large Expenses and Deductions:** Beyond the specific system-generated flags, the case was selected for complete scrutiny to verify the genuineness and documentary evidence of all major expenses incurred and deductions claimed by the assessee during the year, ensuring that they are wholly and exclusively for the purpose of business.

1.2 Background Facts:

- **Nature of Business:** The assessee is a public limited company primarily engaged in the business of manufacturing and contract manufacturing of industrial felts used in the paper and pulp industry.
- **Registered Office:** The company operates from its registered office located at 113/114-A, Sector 24, Faridabad-121005, Haryana, India.
- **Group Structure:** The assessee is a subsidiary within the global Voith Group and enters into significant international transactions with its Associated Enterprises (AEs), including the payment of technical know-how fees and royalties.

2. Details of opportunities given:

Type of notice/	Date of notice/	Date	of Response	Date	of Response	Remarks, if

communication	communication	compliance	of the	response if	type (Full/ Part/ Adjournment)	any
		given	assessee received/ not received	received		
Notice 143(2)	u/s 19.06.2024	04.07.2024				
Notice 142(1)	u/s 22.10.2024	05.11.2024	Received	23.11.2024	Adjournment	Served electronically.
Adjournment	23.11.2024	30.11.2024	Received	23.11.2024	Part	Served electronically.
Notice 142(1)	u/s 29.08.2025	11.09.2025	Received	11.09.2025	Part	Served electronically.
Notice 142(1)	u/s 18.12.2025	24.12.2025	Received	24.12.2025	Part	Served electronically.

3. Cases where variation is not proposed: During the course of assessment proceedings, the assessee was requested to provide clarifications on various risk parameters and discrepancies identified by the system. After due verification of the documentary evidence and explanations provided by the assessee, no variations are proposed in respect of the following issues:

3.1 Discrepancy in Disallowance u/s 40(a)(ia): The system flagged a mismatch where the statutory disallowance u/s 40(a)(ia) reported in the Income Tax Return (ITR) appeared to be lower than the amount reported in the Tax Audit Report (Form 3CD).

- **Assessee's Explanation:** The assessee, vide reply dated **23.11.2024**, clarified that a total sum of **Rs. 98,56,700/-** was subject to disallowance. Accordingly, in

strict compliance with the provisions of **Section 40(a)(ia)** of the Act, 30% of the said amount, totaling **Rs. 29,57,010/-**, was voluntarily added back and offered to tax in the return of income.

- **Finding:** On thorough verification of the **Form 3CD** and the **Computation of Income** filed by the assessee, the claim was found to be mathematically consistent and factually correct. Since the required amount of **Rs. 29,57,010/-** has already been added back to the net profit to arrive at the total income, no further variation is proposed on this count.

3.2 Nature of Technical Know-how Fees (Royalty): The assessee claimed **₹ 7,09,55,103/-** as Technical Know-how fees paid to its parent company, treating it as revenue expenditure.

- **Assessee's Explanation:** The assessee contended that these payments are recurring in nature for the "right to use" technology and do not result in any enduring benefit of a capital nature.
- **Finding:** The assessee placed on record the **ITAT Delhi order** for A.Y. 2016-17 in its own case, wherein the Hon'ble Tribunal upheld that such fees are revenue in nature. Following the rule of consistency and the standing judicial precedent in the assessee's own case, the expenditure is accepted as revenue in nature and no addition is proposed.

4. In Case where variation is proposed:

4.1 Adjustment to Arm's Length Price (Transfer Pricing): In accordance with the reference made u/s 92CA(1) of the Act, the Transfer Pricing Officer (TPO) passed an order u/s 92CA(3) dated 06/12/2025, proposing an upward adjustment of **₹ 12,24,18,600/-** to the total income of the assessee. The TPO observed that the assessee's aggregate benchmarking under the Transactional Net Margin Method (TNMM) was inappropriate for distinct functions. Specifically, an adjustment of **₹ 4,81,11,500/-** was made in the Trading Segment by applying the Resale Price Method (RPM), and an adjustment of **₹ 2,01,10,087/-** was made in Marketing Support Services. Furthermore, the Royalty rate was benchmarked at 2% instead of the 5% claimed, leading to an addition of **₹ 4,25,73,062/-**, while Intra-Group Services amounting to **₹ 1,16,23,951/-** were disallowed in full due to lack of evidence regarding actual service receipt and benefits.

4.2 Update the table of opportunities given (at point 2 above) to include the details of SCN or additional SCN issued and further notices including personal hearing through VC given: Updated in the table of Para 1 above.

5. Complete description of the issues:

- **Mismatch in TDS Disallowance u/s 40(a)(ia):** The system identified that a lower amount was disallowed in the Income Tax Return (ITR) compared to the amount reported by the auditor in Column 34 of the Tax Audit Report (Form 3CD) regarding non-compliance with TDS provisions.
- **High-Risk International Transactions (CbCR):** The entity was flagged via Country-by-Country Reporting (CbCR) data as a high-risk Indian Constituent Entity (CE) of a Multinational Enterprise (MNE).
- **Intangible Property Transactions:** There was a large value of international transactions involving intangible property (such as technical know-how fees or royalties) relative to the company's total turnover, requiring verification of the Arm's Length Principle.
- **Verification of Deductions and Major Expenses:** The case was selected for a complete scrutiny to verify the genuineness and documentary evidence for all major expenses incurred and deductions claimed during the year.

5.1 Synopsis of all submissions of the assessee relating to the issue(s): As discussed in Para 4.5 hereunder.

5.2 Summary of information/evidence collected which proposed to be used against it:

Order of the Transfer Pricing Officer (TPO) u/s 92CA(3): The primary evidence being used to vary the total income is the order passed by the Ld. TPO on 06/12/2025. The TPO has proposed an upward adjustment of ₹ 12,24,18,600/- after determining that the assessee's international transactions were not at Arm's Length. Specifically, the TPO used the Resale Price Method (RPM) to find a median margin of 47% in the trading segment against the assessee's 37.10%. Additionally, the TPO benchmarked Royalty at 2% (instead of 5%), determined a 'Nil' ALP for Intra-Group Services, and proposed an adjustment for Marketing Support Services based on trading comparables, totaling the proposed variation to ₹ 12,24,18,600/-.

5.3 Variation proposed on the basis of inference drawn:

Inferences from Transfer Pricing Analysis: Based on the detailed benchmarking analysis conducted by the Ld. Transfer Pricing Officer (TPO) in the order dated 06/12/2025, it is inferred that the assessee's international transactions in the Trading, Royalty, and Service segments were not conducted at Arm's Length. Specifically, the TPO inferred that the assessee's aggregate benchmarking under TNMM served to mask lower-than-market margins in the trading segment (37.10% vs 47.00% ALP) and excessive royalty payments (5% vs 2% ALP). Furthermore, regarding Intra-Group Services (₹ 1.16 Crores), an inference has been drawn that no actual or tangible services were received, as the assessee failed to provide any documentary evidence of the same; hence, the value is determined as Nil. Consequently, a cumulative variation of ₹ 12,24,18,600/- is proposed.

The cumulative adjustments in respect of the arm's length price of the international transaction made in this case are tabulated below:-

Sl. No.	Nature of International Transaction	TP adjustment u/s 92CA (INR)
1.	Trading Segment	4,81,11,500
2.	Marketing Support Services	2,01,10,087
3.	Payment of Royalty	4,25,73,062
4.	Intra-Group Services	1,16,23,951
	Total	12,21,18,600

5.3.1 Summary of the reply of the assessee to Show Cause Notice: In response to the notices u/s 142(1) issued dated 22.10.2024, 29.08.2025 & 18.12.2025 the assessee submitted its response dated on 23.11.2024, 04.12.2024, 11.09.2025 & 24.12.2025 the same is reproduced as under:

VOITH

Voith Paper Fabrics India Limited, 113/114 A, Sector-24, Faridabad (Haryana), 121 005 / India

Voith Paper Fabrics India Limited
113/114 A, Sector-24
Faridabad (Haryana)
Delhi NCR / 121 005 / India
Phone +91 129 4292 200
Fax +91 129 2232 072
www.voithpaperfabricsindia.com
voithfabrics.faridabad@voith.com**Dated: 23/11/2024**

To

The Commissioner,
Assessment Unit, Income Tax Department,
Delhi.**Subject: Notice u/s 142(1) of the Income Tax Act, 1961 dated 22/10/2024 Assessment Year 2023-24 P.A.N. AABCP0441Q****Reference: ITBA/AST/F/142(1)/2024-25/1069856689(1)**

Sir,

With reference to above notice, we submit as under:

1. It was observed that a Lower amount was disallowed u/s 40(a)(ia) in ITR (Part A-OI) in comparison to audit report as per the underlying information element viz.

- (a) Amount disallowable under section 40(a)(ia) on account of non-compliance with the provisions of Chapter XVII-B in Form 3CD (Column No. 34) (2) Amount disallowable under section 40(a)(ia) on account of non-compliance with the provisions of Chapter XVII-B as per Part A-OI of ITR. Reasons for the same may kindly be furnished with relevant Ledgers, Bank a/c(s) Statements, confirmations & such other documents in support of all the expenses claimed to have been incurred by you.

It is respectfully submitted that as per **section 40(a)(ia)**, 30% amount is to be disallowed of the expenditure on which TDS was not deducted.

Accordingly a total sum of Rs. 9,856,700 was reported under Form 3CD on which TDS was not deducted and a disallowance @30% on Rs. 9,856,700 amounting to Rs. 2,957,010 was made in the income tax return under Part A-OI, s.no. 8 (A)(b). This is in strict compliance to section 40(a)(ia).

Hence, we request your goodself that there was no mis/under reporting of tax in our return.

Your goodself is requested to kindly allow us this expenditure as claimed in our income tax return.

2. Copies of Cash Book, Ledger, all Bank a/c statements and relevant Bank Book containing detailed narrations alongwith supporting documentary evidences of Deductions claimed, as well as, in respect of all the major expenses incurred & Deductions claimed by you also may kindly be furnished with all details.

We respectfully submit that:

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Registered Office
113/114 A, Sector - 24
Faridabad - 121 005
(Haryana), Delhi NCR
IndiaGSTIN : 06AABCP0441Q1ZC
PAN : AABCP0441Q
TAN : RTKP02027E
CIN : L74899HR1968PLC004895Certified according to
ISO 9001:2015

- a) we do not operate in cash and hence, there was no cash transaction during the year and accordingly no cash in hand was reported as on 31st March 2023.
- b) We have enclosed Bank book together with bank reconciliation **vide enclosure 1 and 2**. All bank account statements are enclosed **vide enclosure 3**.
- c) Further, we have not claimed any deduction u/s 80 in our return.
- d) All major expenses namely store consumption (**enclosure 4**), contract labour cost, (**enclosure 5**), power and fuel (**enclosure 6**), and repair and maintenance all heads (**enclosure 7**), technical know how fees (**enclosure 8**) have been enclosed with the reply.

In the context of technical know how fees, from Assessment Year 2009-10 to Assessment Year 2016-17, in all the years Hon'ble ITAT upheld the orders of Ld. CIT(Appeals) and allowed the technical know how expenses as revenue expenditure in nature. We enclose both CIT(Appeals) and ITAT order for AY 2016-17 as enclosure 9.

All other expenses as given above have been claimed as per the provisions of the Income Tax Act 1956 and may kindly allowed to us.

3. Furnish the audited financial statement along with tax audit report.

Audited financial statements are uploaded vide **enclosure 10** and tax audit report is uploaded vide **enclosure 11**.

We once again request your goodself that all the expenses in our profit & loss account have been claimed in compliance of income tax provisions and may kindly be allowed in-toto.

We shall be glad to provide any further information/explanation in this regard.

Thanking you,

For Voith Paper Fabrics India Ltd.


(Kalyan Dasgupta)

Financial Controller



VOITH

Voith Paper Fabrics India Limited, 113/114 A, Sector-24, Faridabad (Haryana), 121 005 / India

Voith Paper Fabrics India Limited
113/114 A, Sector-24
Faridabad (Haryana)
Delhi NCR / 121 005 / India
Phone +91 129 4292 200
Fax +91 129 2232 072
www.voithpaperfabricsindia.com
voithfabrics.faridabad@voith.com

Dated: 10/09/2025

To

The Commissioner,
Assessment Unit, Income Tax Department,
Delhi.

**Subject: Notice u/s 142(1) of the Income Tax Act, 1961 dated 29/08/2025
Assessment Year 2023-24 P.A.N. AABCP0441Q**

Reference: ITBA/AST/F/142(1)/2025-26/1080149458(1)

Sir,

With reference to above notice, we submit as under:

- 1. Further you are requested to provide a reasonably brief note on the source of income of the assessee and details of business activities carried out during the year and method of accounting following during the A.Y. 2023-24. (Point 2 of the Annexure)**

Voith Paper Fabrics India Limited is primarily engaged in the business of manufacturing and contract manufacturing of paper machine clothing for pulp, paper and board industry. The sources of income during the A.Y. 2023-24 were sale of manufactured goods and goods manufactured on contract manufacturing basis, sale of services and interest income on Fixed Deposits with banks.

The company followed mercantile basis of accounting during the A.Y. 2023-24.

- 2. Details of Registered office and the principal place of the business at present along with details of Branch Office(s)/godown(s) with complete address. (Point 2.1 of the Annexure)**

Voith Paper Fabrics India Limited ('the Company') is a public limited company domiciled in India and with its registered office at **Plot No. 113/114 - A, Sector - 24, Faridabad - 121005, Haryana, India**. There are no Branch Office(s)/godown(s) of the company.

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Registered Office
113/114 A, Sector - 24
Faridabad - 121 005
(Haryana), Delhi NCR
India

GSTIN : 06AABCP0441Q1ZC
PAN : AABCP0441Q
TAN : RTKP02027E
CIN : L74899HR1968PLC004895

Certified according to
ISO 9001:2015

The registered email id is Krishna.Kumar@voith.com and registered mobile no. is +91 9831268258.

3. Names and address of the directors during the previous year and at present with their complete residential address and PAN etc. (Point 2.2 of the Annexure)

Directors' details as on 31 March 2023 are as below:

Sr. No.	Name of Director	PAN	Residential Address
1	Benno Edmund Morlock (Foreign National)	NA	74564 CRAILSHEIM, HOCHWEG 19 GERMANY
2	Ravinder Nath	AAHPN7314H	Maulseri House 7 Kapashera Estate New Delhi - 110037
3	Surinder Kumar Nagpal	AAOPN6435C	Apt. No. 1603, Tower - 1 The Palms, South City - 1, Gurgaon - 122001
4	Shahana Basu (until 31st May, 2022)	AAXPB5614Q	J-1815, Chittaranjan Park South Delhi, New Delhi - 110019
5	Deepti Gupta	AAAPG1134F	27, New Campus IIT Hauz Khas, New Delhi - 110016
6	Pallavi Dinodia Gupta (from 29th May, 2022)	AAAPD1732C	B-5 Marble Arch, 9, Prithvi Raj Road Nirman Bhawan, Central Delhi New Delhi - 110011
7	Krishna Kumar RajamohanNair	AERPR8624L	Flat No. 204, Shivalik Apartments

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			Sector - 46, Faridabad - 121001
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Directors' details as on today:

Sr. No.	Name of Director	PAN	Residential Address
1	Martin Bassmann (Foreign National)	NA	89547, GERSTETTEN OT DETTINGEN, ANHAUSER STRASSE 51, GERMANY
2	Ravinder Nath	AAHPN7314H	Maulseri House 7 Kapashera Estate New Delhi - 110037
3	Deepti Gupta	AAAPG1134F	36, West Avenue, IIT Delhi Campus Hauz Khas, New Delhi - 110 016
4	Pallavi Dinodia Gupta	AAAPD1732C	B-5 Marble Arch, 9, Prithvi Raj Road Nirman Bhawan, Central Delhi New Delhi - 110011
5	Ram Sewak Sharma	ASQPS1336R	F-1101, Prateek Stylome Sector - 45, Noida - 201301 (U.P.)
6	Krishna Kumar RajamohanNair	AERPR8624L	Flat No. 204, Shivalik Apartments Sector - 46, Faridabad - 121001

1. Please provide certified copies of the following documents (if not filed/uploaded previously) (Point 2.3 of the Annexure)

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- a) **Computation of total income as per normal provisions as well as per provisions of section 115JB (provide calculation of tax payable u/s 115JB, if applicable) form no. 29B with working of Book Profits for MAT.**

Computation of total income as per normal provisions is enclosed **vide enclosure 1**.

Further, the company had exercised lower tax regime u/s 115BAA of the Act. Since Minimum Alternative Tax ('MAT') provisions u/s 115JB is also not applicable upon opting for the taxation under section 115BAA, the same has not been computed.

- b) **Copy of ITR, Audited financials, profit & loss account and the balance sheet**

Copy of ITR is enclosed **vide Enclosure 2**. The audited financials were submitted vide Enclosure 10 of our reply dated 23/11/2024.

4. **Please furnish copy of the Form 26AS along with a reconciliation if required (Point 3 of the Annexure)**

Please find enclosed **vide enclosure 3**. TDS has been claimed as per 26AS hence reconciliation is not required.

5. **(a) Whether summary assessment u/s 143(1)(a) if the IT act has been made by the CPC. If so kindly file a copy of the intimation and state the adjustments made in the intimation. (Point 4 of the Annexure)**

Order u/s 143(1) enclosed **vide Enclosure 4** where a demand of 12 crores was raised not considering tax paid through challans. However, this was rectified by AO. In the below given screenshot from Income tax portal, AO remarks stating "Demand raised due to mismatch of TDS/Prepaid taxes. Hence not collectible." can be seen.

Demand Reference No: 2024202337248981203C **Assessment Year:** 2023 View

Outstanding Demand Amount ₹124716900 Accrued Interest ① ₹24943380 View Interest Computation	Pending Payment Current Status 21-Sep-2024 Response Submitted 19-Jan-2024 Date of Service of Notice ① 21-Jun-2024 Date of Demand Raised	Section Code: 154 Rectification Rights: CPC Mode of Service: Email & Post Response Type: Disagree with demand(Either in Full or Part) AO Response: Demand raised due to mismatch of TDS/Prepaid taxes. Hence not collectible. AO Response Date: 28-Jun-2024	Pay Now ☒ Download Re-Submit Response
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(b) Kindly state if any appeal has been filed against the adjustment made in the intimation issued u/s 143(1)(a) of the I T Act 1961.

Demand was already marked not collectible by Assessing Officer. Hence, no appeal was required.

6. You are requested to furnish the details of the 'Other Expenses' as given below in the given format: (Point 5 of the Annexure)

- a) Contract labour cost Rs. 6,61,60,000/-
Enclosed **vide Enclosure 5**
- b) Sale Commission Rs. 22,70,000/-
Enclosed **vide Enclosure 6**
- c) Travelling and conveyance Rs. 1,68,60,000/-
Enclosed **vide Enclosure 7**
- d) Communication Expenses Rs. 12,81,00,000/-
The amount is wrong. The actual amount is Rs. 1,28,10,000/-. Enclosed **vide Enclosure 8**
- e) Legal and professional expenses Rs. 24,50,000/-

Enclosed **vide Enclosure 9**

- f) Loss allowance Rs. 19,50,000/-
Enclosed **vide Enclosure 10**
- g) Security Charges Rs. 38,00,000/-
Enclosed **vide Enclosure 11**
- h) Miscellaneous Expenses Rs. 1,58,60,000/-
Enclosed **vide Enclosure 12**
- i) Technical know-how fees Rs. 7,09,60,000/-

Name & PAN of the	Opening Balance	Transactions made during the year	Payments made and the mode of payment	Details of TDS made	Closing balance as on 31/03/2023	Copy of agreement/ Contract, if any	Remarks, if any	Invoice No.
J.M. Voith SE & Co. KG (AAECJ5009K)	28,937,332.00		28937332 dt. 29.04.2022					21803977 dt. 31.03.2022
		6,343,770.00	31236793 dt. 31.10.2022	634,377.00				21807744 dt. 29.09.2022
		5,157,943.00		515,794.00				
		5,778,160.00		577,816.00				
		5,609,533.00		560,953.00				
		5,086,941.00		508,694.00				
		6,731,208.00		673,121.00				
		4,780,414.00		478,041.00				22803959 dt. 31.03.2023
		5,998,856.00		599,886.00				
		6,410,382.00		641,038.00				
		6,429,767.00		642,977.00				
		6,660,556.00		666,056.00				
		5,967,583.00		596,758.00				
			32622798 dt. 28.04.2023		32,622,798.00			22803959 dt. 31.03.2023

We request your goodself to allow us the claim of above expenditure in full as all these expenses are allowed under the income tax act under various sections and have been incurred solely and exclusively for the purpose of business.

7. As per the Note 36 to the audited financials for the AY 2023-24 it has been given that the assessee company has contributed INR 7.35 million to various parties for the CSR expenditure and the same has been utilized by the aforesaid parties as on 31/03/2023. Further, it has also been stated that during the previous year (FY) 2021-22 INR 2.11 million have remained unutilized by the aforesaid parties as on 31/03/2022 and the same has been utilized in the financial year 2022.23. (Point 6 of the Annexure)

Kindly note company has not claimed any deduction on account of CSR expenditure in the return of income filed for the year. The amount of Rs. 73,50,000/- contributed

to Corporate Social Responsibility has been added back to the taxable income in our return of income as evident by the statement of income filed with this letter. Hence, no further information in this regard is required.

- 8. In this connection you are requested to furnish the documentary evidences as per your claim. Details of payment made to the aforesaid parties showing the mode of payment evidenced by relevant bank accounts. You have also claimed that the contribution have been utilized by the aforesaid parties. Thus, you are also requested to substantiate your claim that these contributions made have been utilized by the aforesaid parties. (Point 6.1 of the Annexure)**

Kindly refer reply to point no. 8 above.

- 9. As the reason as per CASS had Transfer Pricing Issues the same has been referred to TPO through the TU. In this connection, you are requested to intimate as and when the TPO passes its order u/s 92CA(3) of the I T act 1961. Your cooperation is solicited in this regard. (Point 7 of the Annexure)**

Order is still awaited.

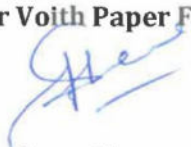
With this letter, we have replied to all queries raised on us vide notices from time to time for the Assessment Year 2023-24.

We once again request your goodself that all the expenses in our profit & loss account have been claimed in compliance of income tax provisions and may kindly be allowed in-toto.

We shall be glad to provide any further information/explanation in this regard.

Thanking you,

For Voith Paper Fabrics India Ltd.



(Archana Sharma)

Chief Manager – Finance & Accounts

VOITH

Voith Paper Fabrics India Limited, 113/114 A, Sector-24, Faridabad (Haryana), 121 005 / India

Voith Paper Fabrics India Limited
113/114 A, Sector-24
Faridabad (Haryana)
Delhi NCR / 121 005 / India
Phone +91 129 4292 200
Fax +91 129 2232 072
www.voithpaperfabricsindia.com
voithfabrics.faridabad@voith.com

Dated: 24/12/2025

To

The Commissioner,
Assessment Unit, Income Tax Department,
Delhi.

Subject: Notice u/s 142(1) of the Income Tax Act, 1961 dated 18/12/2025 Assessment
Year 2023-24 P.A.N. AABCP0441Q

Reference: ITBA/AST/F/142(1)/2025-26/1083819498(1)

Sir,

With reference to above notice, we submit as under:

Point no. 1 & 2

The order u/s 92 CA(3) dated 6th December 2025 is enclosed vide **Annexure 1**. It is further submitted that order started appearing in the portal on 23rd December 2025.

Point no. 3 (1)

Vide notice issued u/ 142(1), dated 22/10/2024 details of lower detection made u./s 40(a)(ia) of the Act. From your submission dated 23/11/2025, it is seen that you have just given a narrative that 30% of Rs. 98,56,700/- has been disallowed and added back to the total income. However, verifiable details such as the name, PAN & e-mail of the person concerned have not been disclosed. Kindly furnish the details so that it may be kept in the record. Please specify under which head of payment or expenses the default has been made. (point 3(1) of the notice)

It is submitted that in our original reply a clear reference to form 3CD was made in respect of this query. In form 3CD clause 21 (b)(ii)(A), all the details such as name, PAN and address of the persons concerned are already mentioned. The details are once again given as below:

Page 1 of 5

Registered Office
113/114 A, Sector - 24
Faridabad - 121 005
(Haryana), Delhi NCR
India

GSTIN : 06AABCP0441Q1ZC
PAN : AABCP0441Q
TAN : RTKP02027E
CIN : L74899HR1968PLC004895

Certified according to
ISO 9001:2015

S No	Date of Paym	Amount	Name of Payee	Nature of Payment	Section	Address	PAN of the payee, availab
1	31-Mar-23	1,779,820	B S R & Co. LLP	Audit Fee	194J	Building No. 10, 8th Floor, Tower-B, DLF Cyber City, Phase-II, Gurugram - 122002, Ph No. - 011-23364671	AAAFB9852F
2	31-Mar-23	375,000	Lodha & Co.	Internal Audit Fee	194J	Unit No. 603, 6th Floor, Tower- 1, Goldrej Waterside, Sector- V, Salt Lake, Kolkata, West Bengal - 700091	AAEF1763C
3	31-Mar-23	330,000	Ernst & Young LLP	Transfer Pricing Fee	194J	12, Bhagat Singh Marg, New Delhi - 110001, Ph No. - 011-23364671	AAEF1763C
4	31-Mar-23	60,000	Lodha & Co.	Return Filing Fee	194J	12, Bhagat Singh Marg, New Delhi - 110001, Ph No. - 011-23364671	AAEF1763C
5	31-Mar-23	200,000	B S R & Co. LLP	Tax Audit Fee	194J	Building No. 10, 8th Floor, Tower-B, DLF Cyber City, Phase-II, Gurugram - 122002, Ph No. - 011-23364671	AAAFB9852F
6	31-Mar-23	171,040	B S R & Co. LLP	IFRS Fee	194J	Building No. 10, 8th Floor, Tower-B, DLF Cyber City, Phase-II, Gurugram - 122002, Ph No. - 011-23364671	AAAFB9852F
7	31-Mar-23	82,500	BDO	GST Audit	194J	The Palm Springs Plaza, Off No. 1601-08, Sector-54, Golf Course Road, Gurugram-122001, India	AACFK3470E
8	31-Mar-23	1,884,940	BVG India Limited	Facility Management Services	194C	BVG House, Premier Plaza, Pune Mumbai Road, Chinchwad, Pune-411019	AACCB0943N
9	31-Mar-23	3,171,474	Reliable Housekeeping Services	Facility Management Services	194C	Plot No. 131, Ravi Swaroop Colony, Mujessar, Faridabad-121005	AERPC3832P
10	31-Mar-23	93,000	Global Risk Consultants	Actuarial Valuation	194J	205 & 206, 2nd Floor, Sai Chamber, Near Railway Station, Santacruz-East, Mumbai-400055	AANFG8857.
11	31-Mar-23	1,663,468	Adecco India Private Limited	Facility Management Services	194C	Unit No. 144 & 145, 1st Floor, Centrum Plaza, Sector 53, Gurugram 122002, Ph No. - 011-23364671	AABCG3636Q
12	31-Mar-23	35,458	Bhajan Lal	Canteen Services	194C	Bhajan Lal Canteen Contractor, Shop no. 201, Near Escort Mujesar metro station YMCA, Faridabad - 121006	CJKPK4928C
13	31-Mar-23	30,000	Workers	Production Incentive	92B	Not applicable	
		9,856,700					

Point no. 3 (2)

From the computation sheet enclosed vide your submission dated 11/09/2025 it is seen that you have claimed benefit of Rs. 31,48,092/- which was previously disallowed u/s 40(a)(ia) of the Act but allowed this year. Kindly submit your relevant computation sheet where the same had been disallowed and the details of TDS and whether it has been reflected in your 26AS/TDS return. Whether revised TDS return has been uploaded for this cause, if yes then kindly furnish a copy of the same along-with the copy of the receipted challans.

In this regard, it is submitted that company provides for accruals for expenses at every year end. These are not invoices issued by vendors but expense internal accruals in the books of the company (and no corresponding invoice by any service provider) and hence are reported in the tax audit with the name, address and PAN of the parties. When the actual invoices are issued by service providers, these accruals are reversed and TDS is reported on actual invoice basis only. Since, there is no TDS deducted on these accruals, they are reported under tax audit and added back to the taxable income @30% as per the provisions of the income tax. When the actual invoices are received, the accrual is reversed in the books and the necessary TDS compliance is made basis the invoices. The computation of AY 2022-23 where Rs. 31,48,092/- were disallowed u/s 40(a)(ia) is enclosed vide Annexure 2.

Point no. 3 (3)

From your submission dated 10/09/2025 it is seen that the following directors namely Benno Edmund Morrak and Martin Bassman are foreign nationals and no PAN has been mentioned. Please furnish the Form 16 issued to these two directors and the details of TDS effected for their remuneration received as director of the company.

It is submitted that no payment of any kind was made to these directors. All payments made to related parties including directors has been reported in financials and under Clause 23 of the 3CD and no payment to these two directors has been made which can be verified with financials as well as with form 3CD.

Point no. 4

Vide your above referred submission dated 23/11/2025 you have stated that vide para 2(d) that all the major expense namely stores consumption (enclosure-4), Contract labour cost (enclosure-5), power & Fuel (enclosure-6) and repairs and maintenance all heads (enclosure-7), Technical know-how fees (enclosure-8). However, on perusal of these enclosures the details such as the name, pan & e-mail id of the concerned parties are not given as such verification cannot be made. Other relevant details such as the opening balance/ addition made during the year payments made during the year and / the closing balance have not been portrayed in the annexures. You are requested to submit the same immediately.

It is submitted that your goodself has asked line by line details of all the expenditure with the movement and address details which is not possible to provide as there is no such report available under ERP. We have submitted the ledgers for all the expenses in our earlier submission. We have now enclosed a supplier wise movement for all the expenses reported under other expenses vide **Annexure 3**. You goodself may kindly note:

1. We have broadly given classification of supplier based on where major expense in respect of this supplier was booked. However, invoices from one supplier can be booked under more than one heads.
2. Since the query was specifically made with regards to vendors, the vendor details have been given. The expenses may have other items such as in store consumption, item consumed out of inventory (which will not be having vendor code).

3. Details regarding PAN and address have been given as per our books of accounts.

Point no. 4.1

Again, vide your submission dated 23/11/2025 you have stated in your letter vide para 6 (a) to (i) that the details of the expenses claimed in your profit & loss account under the head 'other expense' have been given. However, on perusal, it is seen that the same lack the verifiable credentials as was requested by the department. Therefore, you are requested to furnish the details such as the name, pan & e-mail id of the concerned parties so that verification can be made. Other relevant details such as the opening balance/ addition made during the year/ payments made during the year and / the closing balance have not been portrayed in the annexures. You are requested to explain the same.

The details have been attached. Kindly refer answer to the point 4 above.

Point no. 5

In the computation of income submitted by you, it is seen that you have claimed "Provision for trust security" - Rs. 12,70,000/- which has been added back to the total income. Please elucidate as to which trust the assessee is involved in. Detail such a name of the Trust/ PAN and e-mail id. The relationship of the assessee with the Trust.

It is respectfully submitted that the amount of Rs. 12,70,000/- has not been "claimed" but has been added back to the taxable income and offered to tax. Voith Paper Fabrics India Limited (Company) is an 'Exempted Establishment' under the provisions of EPF Act, 1952 and the Scheme made thereunder.

The conditions precedent to said exemption, inter-alia provides that the employer shall establish a Board of Trustees under its Chairmanship for the management of the Provident Fund according to such directions as may be given by the Central Government or the Central Provident Fund Commissioner, as the case may be, from time to time.

In pursuance of the said exemption, the Company had set up a Provident Fund Trust for its employees - which is presently known as **VPFIL Employees Provident Fund (PAN: AABTP1024E)** with email ID as **voithfabrics.faridabad@voith.com**. The continuity of the exemption to the establishment is based on the conditions enumerated under section 17 of the EPF Act 1952, read with Paras 27 to 29 of the EPF Scheme, 1952. These paragraphs (and their conditions) are crucial; they state that the employer/establishment must make good any loss to the trust from wrong investments, or interest deficiencies, ensuring interest rates match statutory rates.

A copy of the relevant extract (Please refer Condition No.6) of the Exemption Manual is attached for ready reference vide **Annexure 4**.

We once again request your goodself that all the expenses in our profit & loss account have been claimed in compliance of income tax provisions and may kindly be allowed in-toto.

We shall be glad to provide any further information/explanation in this regard.

Thanking you,

For Voith Paper Fabrics India Ltd.



(Archana Sharma)

Chief Manager – Finance & Accounts

5.4 Summary of information evidence collected after SCN (if any): NA.**5.5 Point-wise rebuttal of reply of the assessed including analysis of any case law relied upon: NA**

5.6 Conclusion drawn: Adoption of TPO's Findings: During the year under consideration the assessee has undertaken international transactions with its associated enterprises and the total transactions has been shown at Rs. 78,88,06,540/- as reported in Form 3CEB. In accordance with the provisions of section 92CA of the I.T. Act, reference was made to the Transfer Pricing Officer (TPO) for determining the Arm's Length Price of the international transactions entered into by the assessee with the Associated Enterprises.

5.7 Rationale for Adjustments:

- **Trading Segment:** An inference has been drawn that the assessee's purchase prices from its Associated Enterprises (AEs) were overstated. By applying the Resale Price Method (RPM), the TPO established an Arm's Length Gross Profit margin of 47.00% against the assessee's reported margin of 37.10%. This necessitates a variation of ₹ 4,81,11,500/-.
- **Royalty and Intra-Group Services:** The TPO concluded that the royalty payment (₹ 4.25 Crores) at 5.00% was excessive and not supported by market data, benchmarking the same at 2.00%. Furthermore, regarding **Intra-Group Services** (₹ 1.16 Crores), the assessee failed to pass the "benefit test" as no documentary evidence was produced to demonstrate the actual receipt of services or any direct commercial benefit. Accordingly, the ALP for these services is determined as Nil.
- **Marketing Support Services:** The TPO inferred that the flat commission received was inadequate compared to the functions performed, leading to an adjustment of ₹ 2,01,10,087/- based on trading comparables.

The cumulative adjustments in respect of the arm's length price of the international

transaction made in this case are tabulated below:-

Sl. No.	Nature of International Transaction	TP adjustment u/s 92CA (INR)
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1.	Trading Segment	4,81,11,500
2.	Marketing Support Services	2,01,10,087
3.	Payment of Royalty	4,25,73,062
4.	Intra-Group Services	1,16,23,951
	Total	12,24,18,600

5.8 The TPO has passed an order u/s 92CA(3) vide DIN & Order No: ITBA/TPO/F/92CA3/2025-26/1083377342(1) Dated: 06/12/2025, wherein it has been determined that an adjustment of Rs. 12,24,18,600/- should be made to the value of international transactions entered into by the assessee company. Therefore, as per TPO order under section 92CA(3) dated 06/12/2025, a sum of Rs. 12,24,18,600/- was proposed to be added to the income of the assessee in the draft assessment order.

5.9 In response to the same, the assessee filed objections before Hon'ble DRP against the draft assessment order framed by the AO u/s 144C of the Income-tax Act. The Hon'ble DRP-1 vide order No. ITBA/DRP/M/144C(5)/2026-27/1091929854(1) dated 07/08/2026 in which directed the TPO to give effect in terms of provisions of section 144C(5) of the Act.

5.10 Therefore, a letter was written to TPO as per directions given by DRP to give effect in terms of the provisions of section 144C. In response to the same, the TPO vide letter dated 24/09/2026 received in this office on 24/09/2026 forwarded the revised computation as per the directions given by Hon'ble DRP in DIN & Order No : ITBA/COM/F/17/2026-27/1093858197(1) Dated: 24/09/2026. The TPO in its letter stated that - *"Please find enclosed herewith the Order giving effect to the directions of Ld. DRP in the case of M/s VOITH PAPER FABRICS INDIA LIMITED (PAN: AABCP0441Q) for AY-2023-24 for further necessary action at your end"*. **The Order giving effect of TPO is reproduced as below:**



**GOVERNMENT OF INDIA
MINISTRY OF FINANCE
INCOME TAX DEPARTMENT
OFFICE OF THE ASSISTANT
COMMISSIONER OF INCOME TAX,
TRANSFER PRICING
DC/ACIT TP 1(3)(2) DELHI**

To, VOITH PAPER FABRICS INDIA LIMITED 113/114-A Sector 24, Faridabad Sector 22 S.O Faridabad FARIDABAD 121005, Haryana India	
--	--

PAN: AABCP0441Q	Assessment Year: 2023-24	Dated: 24/09/2026	DIN & Order No : ITBA/COM/F/17/2026-27/1093858197(1)
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Sir/ Madam/ M/s,

Subject: Give Effect to Directions u/s 144C - Order

Order Giving Effect to the directions of Hon'ble DRP in case of M/s Voith Paper Fabrics India Limited (PAN: AABCP0441Q) for AY-2023-24

Order u/s 92CA (3) of the Income Tax Act, 1961 was passed on 06.12.2025 in the case of M/s Voith Paper Fabrics India Limited (PAN: AABCP0441Q) for AY-2023-24 proposing a TP adjustment of Rs. 12,24,18,600/-. The details are as follow:

S. No.	Particulars	Adjustment (in Rs.)
1.	Trading Segment	4,81,11,500
2.	Marketing Support Services	2,01,10,087
3.	Payment of Royalty	4,25,73,062
4.	Intra-Group Services	1,16,23,951
Total		12,24,18,600

2. The assessee filed objection before the DRP-1, New Delhi, against the Draft Assessment order dated 12.01.2026 passed by the Assessing Officer. The Hon'ble DRP has issued certain directions vide order dated 07.08.2026 in the instant case giving the following directions to TPO: -

3. The adjustment of Rs. 4,81,11,500/- on account of Trading Segment

3.1. Directions of Hon'ble DRP:

"8.2.1 The Panel has considered the submissions of the assessee and the findings of the TPO in the draft order. This Panel has noted that identical objections were before the DRP in assessee's case in AY 2021-22. In its order for AY 2021-22, the DRP, after a detailed analysis of facts, similar to those in AY 2023-24, held RPM to be the MAM, rejecting the assessee's contentions on TNMM and the aggregated approach to benchmarking the transaction in the TP study. This Panel adjudicates that the directions of DRP in AY 2021-22 would apply to AY 2023-24 mutatis mutandis."

Comments of the TPO: As directed by the Hon'ble DRP, the directions issued for AY 2021-22 have been duly perused. It is observed that the Hon'ble DRP found no infirmity in the segregated approach adopted by the TPO. Further, the Hon'ble DRP also found no infirmity in the adoption of the Resale Price Method (RPM) as the Most Appropriate Method (MAM) for benchmarking the international transaction relating to the import of finished goods.

3.2 The directions of Hon'ble DRP on the new comparables added by the TPO and objected by the assessee are discussed in the table below:

Sr. No.	Name of Comparable Company	DRP's Directions	TPO's Comments
1.	Shree Shivam Attires Pvt. Ltd.	Publicly available information suggests that this company is into retail of garments. Functionally dissimilar. To be excluded.	As per the direction of Hon'ble DRP, the comparable is excluded from the final list of comparables.

ITBA/COM/F/17/2026-27/1093858197(1)

2.	TDB Spinners Pvt Ltd	The Panel is of the view that comparability analysis requires broad similarity of FAR, as exact comparables are an impossibility. This is therefore a suitable comparable on functional similarity.	As per the direction of Hon'ble DRP, the comparable is included in the final list of comparables.
3.	Mafia Trends Ltd	Publicly available information suggests that this company is into retail of garments. Functionally dissimilar. To be excluded.	As per the direction of Hon'ble DRP, the comparable is excluded from the final list of comparables.
4.	Jindal Cotex Ltd	The Panel is of the view that comparability analysis requires broad similarity of FAR, as exact comparables are an impossibility. This is therefore a suitable comparable on functional similarity.	As per the direction of Hon'ble DRP, the comparable is Included from the final list of comparables.
5.	RMKV Silk Pvt Ltd	The Panel agrees with the submissions of the assessee. Functionally dissimilar. To be excluded.	As per the direction of Hon'ble DRP, the comparable is excluded from the final list of comparables.
6.	Major Brands (India) Pvt Ltd	Publicly available information suggests that this company is into retail of garments and accessories. Functionally dissimilar. To be excluded.	As per the direction of Hon'ble DRP, the comparable is excluded from the final list of comparables.
7.	Arjan Impex Pvt Ltd	Publicly available information suggest that the company is in manufacture and export of food service products and pet products. Functionally dissimilar. To be excluded.	As per the direction of Hon'ble DRP, the comparable is excluded from the final list of comparables.
8.	Peeti Securities Ltd.	DRP directions in AY 2021-22 to be followed by the TPO.	As directed, this comparable is included in the final list of

ITBA/COM/F/17/2026-27/1093858197(1)

			comparables since this comparable has trading income for the relevant year.
9.	Mangalam Ventures Ltd	Publicly available information suggests that this company is into retail of garments and accessories. Functionally dissimilar. To be excluded.	As per the direction of Hon'ble DRP, the comparable is excluded from the final list of comparables.
10.	Veer Vardhaman Textile Mills Ltd	The Panel has noted that the DRP had upheld the selection of Veer Vardhaman Textile Mills Ltd., Dhanesh Fabrics Pvt. Ltd, and TDB Spinners Pvt. Ltd. as suitable comparables in AY 2021-22. The TPO is directed to verify whether these comparables pass the quantitative filters applied by the TPO in AY 2023-24. If they satisfy all the filters, they should be included in the final list.	As per the direction of Hon'ble DRP, the comparable is included after reverification of quantitative filters in the final list of comparables.
11.	Dhanesh Fabrics Pvt. Ltd	The Panel has noted that the DRP had upheld the selection of Veer Vardhaman Textile Mills Ltd., Dhanesh Fabrics Pvt. Ltd, and TDB Spinners Pvt. Ltd. as suitable comparables in AY 2021-22. The TPO is directed to verify whether these comparables pass the quantitative filters applied by the TPO in AY 2023-24. If they satisfy all the filters, they should be included in the final list.	As per the direction of Hon'ble DRP, the comparable is included in the final list of comparables.

3.3 In view of the above discussion, the final set of comparables on the Trading Segment is as follows:

S. No.	Name of the comparable	3-year weighted average of GP/sales (%)
1	Veer Vardhaman Textile Mills Ltd	34.71%
2	T D B Spinners Pvt Ltd	33.87%

ITBA/COM/F/17/2026-27/1093858197(1)

3	Jindal Cotex Ltd	42.86%
4	Dhanesh Fabrics Pvt. Ltd	36.31%
5	Peeti Securities Ltd	61.01%
	Mean	41.75%
	Assessee's Margin	37.10%

3.4 The GP/sales ratio is 37.10% in case of assessee. Since in this case the variation is not within +/-3 % tolerance band, thus transaction is not considered to be at arm's length. Hence, the arm's length margin is taken to be average mean of these comparables i.e., 41.75%, as per Rule 10CA (7).

3.5 The computation of arm's length price with regard to trading activities is proposed as under:

Particulars	Amount (Rs. in millions)
Total Sales - Traded Goods	206.45
GP/sales ratio	41.75%
Gross Profit	86.192875
Arm's Length Purchases	120.257125
Purchase of traded goods as shown by assessee	157.53
Difference/ Proposed Adjustment u/s 92CA	37.272875

ITBA/GOM/F/17/2026-27/1093858197(1)

Difference/ Proposed Adjustment u/s 92CA (in Rs.)	3,72,72,875

3.6 Accordingly, the adjustment was made of Rs. 4,81,11,500/- by the TPO on account of Trading is revised to Rs. 3,72,72,875/-

4. Marketing Support Services of Rs. 2,01,10,087/-

4.1. Directions of DRP:

"9.2.1 This Panel has considered the submissions of the assessee and the findings of the TPO in the draft order. The Panel observes that identical objections were before the DRP in AY 2020-21, wherein the DRP, after analysing the issue in detail, upheld the action of the TPO. Following the DRP in AY 2020-21 and as the facts and circumstances of the case remain the same, it is adjudicated that the directions issued in AY 2020-21 would apply mutatis mutandis to AY 2023-24. The objections are accordingly disposed off."

4.2 Further, corrigendum order dated 22.09.2026 was issued by the Hon'ble DRP and following direction was given: -

"In the case of Voith Paper Fabrics India Limited- [PAN: AABCP0441Q] – A.Y. 2023-24 has been issued in the subject case. However, it has been observed that the Assessment Year (AY) of the assessee has inadvertently been mentioned as "2020-21" instead of "2021-22" in the paragraph 9.2.1 on 35 page of the said order."

4.3 Comments of the TPO: -

Determination of arm's length price for the international transaction of commission received for sales

The assessee submitted the value of sales as Rs. 5,47,18,083/- During the TP proceedings on which commission was received. Hence, this amount is taken to be the value of sales.

In view of the above the computation of the arm's length profit that the assessee

should have received for the commission sales is calculated as below:

Particulars	Amount
Sales Amount (A)	5,47,18,083
Margin (B)	41.75%
ALP Profit (C = A*B)	2,28,44,800
Profit earned by assessee (Commission income (D))	56,07,412
Difference/ Proposed Adjustment u/s 92CA (C-D)	1,72,37,388

4.4 Thus adjustment of Rs. 2,01,10,087/- made in the TPO's order on account of commission received on sale is revised to Rs. 1,72,37,388/.

5. Adjustment of Rs. 1,16,23,951/- was proposed on account of Intra-Group Services.

5.1 Direction of the Hon'ble DRP:

"11.3.1 The Panel has considered the submissions made by the assessee, the additional evidence and the TPO's findings. The TPO has concluded in the draft order that the assessee had failed to demonstrate that the IT services were rendered by the AE, received by the assessee, and these services were needed by the assessee. The TPO has also held that bifurcation of costs was not submitted by the assessee and hence they remained unverifiable. The assessee, on the other hand has claimed that all the evidences have been submitted to demonstrate rendition, receipt, need and cost of the services.

CONT

11.3.2 The Panel agrees with the assessee that certain IT services are critical to the functioning of Group companies, especially the third-party software licenses. The Panel has noted that the assessee has submitted third party invoices in the additional evidence pertaining to software licenses. The TPO is therefore directed to reduce the proposed adjustment to the extent of payment for third-party software licenses substantiated by the third-party invoices.

11.3.3 On the adjustment proposed on account of payment for software implementation and maintenance, the Panel is inclined to disagree with the contentions of the assessee. These services are rendered by the AE in its own interest and as held by the TPO, no independent party would be willing to pay for such services; the CUP for such activities would be nil. The adjustment on account of payments for maintenance and implementation of software and the mark-up charged on such costs is therefore upheld."

Comments of the TPO: In compliance with the directions of the Hon'ble DRP, the assessee's submissions and supporting documents were examined. The assessee submitted that the payments towards software/licenses were made to independent third-party vendors and furnished third-party invoices in support thereof. On verification from the invoice of payments with AE and the invoice of AE with third parties, the actual amount corresponding to the relevant financial year could not be substantiated. Accordingly, the assessee's claim is not accepted and the proposed adjustment of Rs. 1,16,23,951/- remains unchanged.

6. Accordingly, the adjustments in the case are summarized as below:

S. No.	Particulars	Adjustment (in Rs.)	Adjustment as per DRP directions
1.	Trading Segment	4,81,11,500	3,72,72,875
2.	Marketing Support Services	2,01,10,087	1,72,37,388
3.	Payment of Royalty	4,25,73,062	4,25,73,062
4.	Intra-Group Services	1,16,23,951	1,16,23,951

Total	12,24,18,600	10,87,07,276
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7. The Assessing Officer shall enhance the income of the assessee by an amount of Rs. 10,87,07,276/- while computing its total income. This shall be treated as the cumulative adjustment u/s 92CA. The Assessing Officer may examine issue of initiation of penalty under section 270A of the Income-tax Act, 1961.

Accordingly, the draft DIN & Order No : ITBA/AST/F/144C/2025-26/1084648895(1) Dated: 12/01/2026 is modified to that extent and an amount of Rs. 108707276/- is added to the income of the assessee. Since, I am satisfied that the assessee has under reported its income, penalty proceedings u/s 270A of the Act are initiated separately.

6. Table of Computation of Income:

In view of the aforesaid discussion, Computation of total income of the assessee is made as under:

1.	Total Income/Loss as per return of income filed under section 139(1) of the Income Tax Act, 1961(Return of Income was filed by the assessee)	43,07,14,990
2.	Variation in respect of TP adjustment and OGE Dated: 24/09/2026 vide DIN & Order No : ITBA/COM/F/17/2026-27/1093858197(1)	10,87,07,276
3.	Total Income determined	53,94,22,266

Assessment order passed as per the provision of Section 143(3)/ 144C(13)

r.w.s144B of the Income Tax Act, on a total income of Rs. 53,94,22,266/-. Penalty proceedings u/s 270A of the Act is initiated to the assessee. Demand notice and challan are to be issued with the final order. Interest will be charged u/s 234A, 234B, 234C and 234D the Act as applicable. Credit for prepaid taxes to be allowed with the final assessment order, after due verification.

Assessment Unit
Income Tax Department

Copy to:

Assessee



Assessment Unit
Income Tax Department



GOVERNMENT OF INDIA
MINISTRY OF FINANCE
INCOME TAX DEPARTMENT



Computation Sheet

General Details			
PAN	AABCP0441Q	Assessment Year	2023-24
Name	VOITH PAPER FABRICS INDIA LIMITED	Address	113/114-A Sector 24 ,Faridabad Sector 22 S.O Faridabad FARIDABAD 121005 ,Haryana India
Residential Status	Resident	DIN & Document Number	ITBA/AST/S/623/2026-27/1093935171(1)
Order Section	143(3) r.w.s 144C(13)	Order Date	25/09/2026

Sl. No.	Reporting Heads	Amount as per Current Order (in Rs.)
	HEADS OF INCOME	
1.	INCOME FROM HOUSE PROPERTY	0
2.	INCOME FROM BUSINESS OR PROFESSION	44,21,12,943
3.	INCOME FROM CAPITAL GAINS	0
4.	INCOME FROM OTHER SOURCES	9,73,09,327
5.	INTRA HEAD ADJUSTMENTS	0
6.	TOTAL(AFTER INTRA HEAD ADJUSTMENT) 6=(1+2+3+4)-5	53,94,22,270
7.	LOSSES OF CURRENT YEAR SETOFF AGAINST 6	0
8.	BALANCE AFTER SET OFF CURRENT YEAR LOSSES(6-7)	53,94,22,270
9.	BROUGHT FORWARD LOSSESS SET OFF AGAINST 6	0
10.	GROSS TOTAL INCOME (INCLUDING SPECIAL INCOME) 10=6-(7+9)	53,94,22,270
11.	(I) INCOME CHARGEABLE TO TAX AT SPECIAL RATE UNDER SECTION 115BBE	0
	(II) INCOME CHARGEABLE TO TAX AT SPECIAL RATE OTHER THAN 115BBE INCLUDING SECTION 111A, 112 ETC.	0
12.	DEDUCTIONS UNDER CHAPTER VI A	
	(a) PART-B OF CHAPTER VI-A	0

Note:- The website address of the e-filing portal has been changed from www.incometaxindiaefiling.gov.in to www.incometax.gov.in.

	(b) PART-C OF CHAPTER VI-A	0
	(c) TOTAL(12A+12B)	0
	INCOMES NOT FORMING PART OF TOTAL INCOME	
13.	DEDUCTION U/S 10A/10AA	0
14.	TOTAL INCOME AFTER DEDUCTIONS (10AA AND CHAPTER VIA) 14=(10-12(c)13)	53,94,22,270
15.	INCOME CHARGEABLE TO TAX AT SPECIAL RATES	0
16.	INCOME CHARGEABLE TO TAX AT (14-15) NORMAL RATES	53,94,22,270
17.	NET AGRICULTURAL INCOME	0
18.	LOSS IN CURRENT YEAR TO BE CARRIED FORWARD	0
19.	DEEMED TOTAL INCOME U/S 115JB	0
	TAX DETAILS U/S 115JC	
20.	TAX PAYABLE ON DEEMED TOTAL INCOME UNDER SECTION 115JB	0
21.	SURCHARGE (ON ABOVE 20)	0
22.	HEALTH AND EDUCATION CESS @ 4% (ON 20 +21 ABOVE)	0
23.	TOTAL TAX PAYABLE U/S 115JB (23=20+21+22)	0
24.	TAX AT NORMAL RATES (INCLUDED. AGRICULTURAL INCOME)	11,86,72,899
25.	(I) TAX ON 115BBE	0
	(II) TAX ON SPECIAL INCOME OTHER THAN SECTION 115BBE	0
26.	TAX PAYABLE ON TOTAL INCOME 26=(24+25)	11,86,72,899
27.	SURCHARGE ON 26 ABOVE	
	(i) 25% OF TAX ON DEEMED INCOME CHARGEABLE U/S 115BBE	0
	(ii) ON [(26) – (TAX ON DEEMED INCOME CHARGEABLE U/S115BBE)]	1,18,67,290
	(iii) TOTAL (i + ii)	1,18,67,290
28.	HEALTH AND EDUCATION CESS @ 4% ON (26 + 27)	52,21,608
29.	GROSS TAX LIABILITY (29=26+27+28)	13,57,61,797
30.	GROSS TAX PAYABLE (HIGHER OF 23 OR 29)	13,57,61,797
31.	CREDIT UNDER SECTION 115JAA OF TAX PAID IN EARLIER YEARS	0
32.	TAX PAYABLE AFTER CREDIT UNDER SECTION 115JAA (30-31)	13,57,61,797
	TAX RELIEF	
33.	RELIEF U/S 90/90A	0
34.	RELIEF U/S 91	0
35.	TOTAL TAX RELIEF 35=(33+34)	0
	TOTAL INCOME TAX LIABILITY	
36.	NET TAX LIABILITY 36=(32-35)	13,57,61,797

	INTEREST PAYABLE	
37.	FOR DEFAULT IN FURNISHING THE RETURN (SECTION 234A)	0
38.	FOR DEFAULT IN PAYMENT OF ADVANCE PAYMENT (SECTION 234 B)	1,00,49,970
39.	FOR DEFERMENT OF ADVANCE TAX (SECTION 234C)	0
40.	INTEREST U/S 234D	0
41.	FEE FOR DEFAULT IN FURNISHING RETURN OF INCOME (SECTION 234F)	0
42.	TOTAL INTEREST AND FEE PAYABLE 42=(37+38+39+40+41)	1,00,71,014
43.	AGGREGATE INCOMETAX LIABILITY 43=(36+42)	14,58,32,811
	PRE-PAID TAXES	
44.	TDS	1,03,15,824
45.	TCS	17,402
46.	ADVANCE TAX	10,15,00,000
47.	SELF ASSESSMENT TAX	0
48.	REGULAR TAX PAID	0
49.	TOTAL TAXES PAID 49=(44+45+46+47+48)	11,18,33,226
	TAX PAYABLE/REFUND	
50.	AMOUNT PAYABLE /REFUND AMOUNT 50=(43-49)	3,39,99,585
51.	INTEREST U/S 244A ON CURRENT AMOUNT	0
52.	TDS DEDUCTED ON INTEREST PAID U/S 244A(FOR NON-RESIDENT ONLY)	0
53.	INTEREST U/S 244A(1A)	0
54.	TOTAL AMOUNT PAYABLE/ REFUND AMOUNT 53= (50+51+52)	3,39,99,585
55.	REFUND ALREADY ISSUED (INCL. INTEREST U/S 244A AND INTEREST U/S 244A(1A) IF ANY)	-42,08,840
56.	BALANCE AMOUNT PAYABLE/REFUNDABLE (INCL. PROVISIONAL INTEREST U/S 244A TILL CURRENT ORDER AND INTERSET U/S 244A(1A) –IF ANY) 56 = (54-55)	3,82,08,430
57.	INTEREST U/S 220(2) CHARGED (In Rs.)	0
58.	AMOUNT PAYABLE/REFUNDABLE 58=(56+57)	3,82,08,430
59.	DEMAND IDENTIFICATION NO AGAINST ORIGINAL DEMAND	2026202337496678085C
60.	DEMAND IDENTIFICATION NO AGAINST INTEREST U/S 220(2)	NA

61. DETAILS OF TAX ON DISTRIBUTED INCOME OF A DOMESTIC COMPANY ON BUY BACK OF SHARES(BBS), NOT LISTED ON STOCK EXCHANGE		
Sl. No.	Reporting Heads	As per Current Order

	BBS	
1.	TAX ON DISTRIBUTED INCOME ON BUY BACK OF SHARES U/S 115QA	0
2.	SURCHARGE ON ABOVE	0
3.	EDUCATION+SECONDARY & HIGHER EDUCATION CESS	0
4.	TOTAL TAX ON DISTRIBUTED INCOME ON BUY BACK OF SHARES PAYABLE	0
5.	INTEREST U/S 115QB	0
6.	ADDITIONAL INCOME TAX AND INTEREST PAYABLE 6=(4+5)	0
7.	TAX AND INTEREST PAID	0
8.	BBS AMOUNT PAYABLE/REFUNDABLE 8=(6-7)	0
9.	INTEREST U/S 244A (till order date or accounting closure date)	0
10.	TOTAL BBS AMOUNT PAYABLE/REFUNDABLE 10= (8+9)	0
11.	BBS REFUND ALREADY ISSUED	0
12.	BALANCE BBS AMOUNT PAYABLE/REFUNDABLE 12= (10-11)	0

62. AGGREGATION OF REFUND & DEMAND ARISING OUT OF ASSESSMENT ORDER (AFTER ROUNDING OFF AND CROSS ADJUSTMENTS)		
HEADS	REFUND AMOUNT	DEMAND PAYABLE
INCOME TAX	0	3,82,08,430
BBS	0	0
BALANCE REFUND/DEMAND AFTER CROSS ADJUSTMENTS	0	3,82,08,430

*In case of refund, Refund Intimation cum Adjustment sheet will be issued subsequently and separate communication will be sent for that.

Note: BBS (Point No. 61) and Cross Adjustments (Point No.62) Panel will be displayed at time of passing order.

Assessment Unit/Verification Unit/Technical Unit/Review Unit
Income Tax Department

NOTE: To know the originator Unit of this Communication, kindly see the Digital Signature.



GOVERNMENT OF INDIA
MINISTRY OF FINANCE
INCOME TAX DEPARTMENT



To, VOITH PAPER FABRICS INDIA LIMITED 113/114-A Sector 24, Faridabad Sector 22 S.O Faridabad FARIDABAD 121005, Haryana India	
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PAN: AABCP0441Q	Date: 25/09/2026	Status: COMPANY	DIN & Notice No: ITBA/AST/S/156/2026- 27/1093935166(1)
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Subject: Notice of demand under section 156 of the Income-Tax Act, 1961

1. This is to give you notice that for the assessment year **2023-24** a sum of **Rs. 3,82,08,430**, details of which are given on the reverse, has been determined to be payable by you.
2. The amount should be paid to the Manager, authorised bank/State Bank of India within 30 days of the service of this notice. A challan is enclosed for the purpose of Payment.
3. If you do not pay the amount within the period specified above, you shall be liable to pay simple interest at one per cent for every month or part of a month from the date commencing after the end of the period aforesaid in accordance with section 220(2).
4. If you do not pay the amount of the tax within the period specified above, penalty (which may be as much as the amount of tax in arrear) may be imposed upon you after giving you a reasonable opportunity of being heard in accordance with section 221.
5. If you do not pay the amount within the period specified above, proceedings for the recovery thereof will be taken in accordance with sections 222 to 227, 229 and 232 of the Income-tax Act, 1961.
6. The amount has become due as a result of the order of the DRP under section 144C(5) of the Income-tax Act, 1961. If you intend to appeal against the aforesaid order, you may present an appeal under Part B of Chapter XX of the said Act to the Income-tax Appellate Tribunal, **Delhi** within sixty days of the receipt of that order, in Form No. 36, duly stamped and verified as laid down in that form.

Yours faithfully,

**Assessment Unit
Income Tax Department**

Note:- The website address of the e-filing portal has been changed from www.incometaxindiaefiling.gov.in to www.incometax.gov.in.

Digitally signed by ASSESSMENT
UNIT, INCOME TAX
DEPARTMENT, INCOME TAX
DEPARTMENT
Date: 2026.09.25 17:41:51 IST